

THE WALL STREET JOURNAL.

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DJIA 49918.78 ▼ 953.33 1.87% NASDAQ 25169.50 ▼ 2.0% STOXX 600 618.17 ▼ 0.1% 10-YR. TREAS. ▼ 4/32, yield 4.541% OIL \$90.03 ▲ \$1.83 GOLD \$4,108.20 ▼ \$151.80 EURO \$1.1538 YEN 160.56

What's News

Business & Finance

- ◆ **Year-over-year inflation** hit a three-year high of 4.2% in May, in line with expectations, as the Iran war pushed energy prices higher and the conflict's toll on consumers intensified. **A1, A2**
- ◆ **Major U.S. stock indexes** fell, with the S&P 500, Nasdaq and Dow sliding 1.6%, 2% and 1.9%, respectively. Crude-oil futures rose. **B1**
- ◆ **OpenAI is considering** drastically lowering the prices it charges users as it seeks to win customers from archrival Anthropic. **B1**
- ◆ **Fidelity plans** to start letting workers buy pension-like income within a popular class of its 401(k) investments. **B1**
- ◆ **Oracle reported** a 47% increase in cloud revenue, helping to boost profit to \$4.3 billion from \$3.43 billion a year earlier. **B4**
- ◆ **Sanofi said it would stop** a late-stage study of an experimental treatment for a rare immune disorder. **B2**
- ◆ **Apotex Health's** shares jumped in the company's market debut after the Canadian drugmaker priced its IPO to raise the equivalent of about US\$932 million. **B4**
- ◆ **An aluminum-rolling plant** in New York state that supplies Ford and other automakers was set to restart production nine months after a fire caused a supply crisis for the car industry. **B3**
- ◆ **Unionized workers** at a Michigan plant producing a key component for General Motors trucks have reached a tentative agreement for a new labor contract following a 10-day strike. **B3**

Worldwide

- ◆ **The U.S. began** a fresh wave of attacks on Iran, launching strikes at multiple targets near the Strait of Hormuz on Trump's orders in what the Pentagon framed as an act of coercive diplomacy. **A1, A6**
- ◆ **Taiwan fired test missiles** into the strategic waters directly facing China for the first time, sending a message of resolve to Beijing and Washington. **A7**
- ◆ **Trump called on** Congress to pass a short-term extension of a federal surveillance program that is set to expire at the end of this week. **A4**
- ◆ **Bill Gates told Congress** that Jeffrey Epstein discovered that he had had affairs during his marriage and tried to use that information against him. **A3**
- ◆ **Regulators proposed** new rules for prediction markets, seeking the ability to block wagers that they find aren't in the public interest. **A3**
- ◆ **The Justice Department** sent subpoenas to several of the largest U.S. banks, asking whether they de-banked clients, or improperly closed customer accounts for political reasons. **A3**
- ◆ **The federal government** sold Washington, D.C.'s former Old Post Office building, now a Waldorf Astoria hotel, to the merchant bank that holds the long-term lease on the property. **A3**
- ◆ **The U.K. confronted** a second bout of anti-immigration riots in a week after a Sudanese asylum seeker allegedly stabbed a man on a street in Belfast. **A8**

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Inflation Hits Three-Year High

Consumer prices rise 4.2% as the U.S.'s war with Iran drives energy costs higher

By HARRIET TORRY

Year-over-year inflation hit a three-year high of 4.2% in May, as the Iran war pushed energy prices higher and the conflict's toll on consumers intensified.

The rise in the consumer-price index, as reported by the Labor Department on Wednesday, was in line with

expectations and accelerated from 3.8% the previous month. It also was the highest year-over-year reading since April 2023 and a sign that high energy costs stemming from the U.S.-Israeli attack on Iran are continuing to push up price pressures.

Beyond the gas pump, though, there were fewer signs of quickly rising prices. Prices excluding food and energy categories—the so-called core measure economists watch in an effort to better capture inflation's underlying trend—rose 2.9% from a year earlier. That was

in line with forecasts and was slightly hotter than 2.8% the previous month.

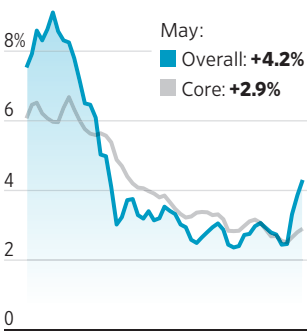
In addition, the month-over-month rate of increase cooled slightly compared with April, a sign that the sharp rise in energy prices might have peaked and begun to soften.

Wednesday's report isn't likely to provide Federal Reserve officials with a clearer direction on interest rates, a

Please turn to page A2

- ◆ **Gasoline prices wipe out wage gains..... A2**
- ◆ **Heard on the Street: Price rise costs investors..... B12**

Consumer-price index, change from a year earlier



Note: Data for October 2025 is unavailable. Core excludes food and energy prices. Source: Labor Department

Pope Blesses Gaudi's Barcelona Landmark



MASTERPIECE: Thousands flocked to the Sagrada Familia as Pope Leo XIV inaugurated a newly finished tower of the basilica he called a 'sign of unity and harmony for all of Spain' on Wednesday, the 100th anniversary of the death of its architect, Antoni Gaudi.

Musk's Fans Fuel SpaceX Launch

The company's IPO is expected to set records Friday and make its CEO a trillionaire

By HANNAH ERIN LANG AND CORRIE DRIEBUSCH

Deen Noory wants in on the biggest stock market debut of all time. Elon Musk is counting on it.

Noory, a 41-year-old fintech entrepreneur, spent years listening to Musk's video and podcast interviews. Tesla stock makes up some 85% of his net worth, and when shares of SpaceX

start trading, he plans to buy. "What's there to think about?" Noory said.

He doesn't consider himself a Musk fanboy, just a believer in the tech founder's vision of a multiplanetary future powered by superhuman artificial intelligence. "You have a limitless industry with Elon Musk at the helm," Noory said.

On Friday, the SpaceX stock ticker is

expected to make its debut in the biggest initial public offering of all time: Musk plans to raise close to \$75 billion in a deal that could make him the world's first trillionaire.

The stock offering also will be a landmark moment for everyday investors in Wall Street's retail revolution.

Over the past few years, individual Please turn to page A9

The U.S. and Soccer? Well, It's Complicated.

By JOSHUA ROBINSON AND JONATHAN CLEGG

Soccer in the U.S. has never been treated like any other sport.

It has been loved like an underground band, ridiculed as a poisonous foreign import, and, for most of its history, roundly ignored.

But if the U.S. is in a position to co-host the largest ever World Cup over the course of the next five weeks, it is because of a bubbling undercurrent that sustained the game in the country for over a century.

Today, it boasts one of the best attended domestic

leagues in the world, a men's national team that is consistently ranked in the top 15 and a vibrant soccer culture.

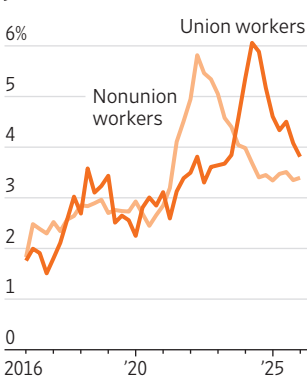
How it got there is not a linear story. The fits and starts of the U.S.'s complicated relationship with the world's most popular game encompass a forgotten goal in the middle of Brazil, the 1990s invention of a sports league from scratch, the Hollywood arrival of an English Spice Boy, and a uniquely U.S. Please turn to page A8

- ◆ **World Cup puts Mexico's cartel crisis in spotlight... A8**
- ◆ **How FIFA won Trump's support..... A16**

Unions Score On Wages

Unions around the country have recently secured some big wins for higher pay. **A2**

Private-industry hourly compensation, change from a year earlier



Source: Labor Department via St. Louis Fed

World's Great Powers Learn They Have Limits

By YAROSLAV TROFIMOV

Great powers, it turns out, don't have as much power as they thought.

After taking office last year, President Trump pushed a might-makes-right vision to remake the international order around a U.S. sphere of influence, a worldview not that dissimilar from Russia's or China's. The future seemed shaped by an oft-repeated line from ancient Greek historian Thucydides: "The strong do what they will, and the weak suffer as they must."

The saying, originally uttered by invading Athenian forces to the doomed islanders

Trump Launches New Wave Of Attacks On Iran

U.S. will 'negotiate with bombs' to force a deal that ends the war, Hegseth says

The U.S. began a fresh wave of attacks on Iran Wednesday, launching strikes against multiple targets on President Trump's orders, the American military said.

By Alexander Ward, Lara Seligman and Michael R. Gordon

The attack came hours after Trump said Iran was "playing us for suckers" because it hadn't accepted U.S. terms for a nuclear deal. The Pentagon cast the attacks as an act of coercive diplomacy that were designed to force Iranian concessions at the negotiating table.

"If we need to negotiate with bombs, we'll negotiate with bombs. And we're very good at it. Nobody better in the world," Defense Secretary Pete Hegseth said Wednesday afternoon as he visited the Tampa headquarters of the U.S. Central Command, which oversees military operations in the Middle East.

U.S. forces launched attacks on dozens of targets, including air defenses and radar sites near the Strait of Hormuz, said a senior U.S. official. No infrastructure sites were hit, U.S. officials said. Iranian state media reported explosions in areas along the Strait of Hormuz, including Bandar Abbas, Qeshm Island and Sirik, and said its air defenses were engaging with U.S. jet fighters.

Iran said it targeted the U.S. Fifth Fleet in Bahrain in a drone attack. Bahrain and Kuwait both urged their citizens to go to safe locations.

The U.S. military said the strikes were over around 9 p.m. Eastern time, several hours after they began.

The assault is the latest ex- Please turn to page A6

- ◆ **Conflict in Iran enters dangerous new phase.... A6**
- ◆ **Stocks fall on Mideast clashes, inflation..... B1**

Next on the Docket: James Madison's Drinking Habit

Rise of originalism is sparking bizarre debates on the Supreme Court

By JAMES ROMOSER

Do drug users have a constitutional right to own a gun? The answer may depend on what the Supreme Court thinks about the drinking habits of the Founding Fathers.

Can states count mail-in ballots that are postmarked on time but arrive after Election Day? That may turn on a long-forgotten voting practice from the Civil War.

As the Supreme Court works through its busiest month, its docket is chockablock with tough cases on modern-day problems. More than ever, the justices are looking deep into the past for answers.

The time machine is driven by the ascendance of originalism—the legal philosophy, pioneered by conser-

vatives, that says the meaning of the Constitution's words shouldn't evolve over time.

Though the theory has been fashionable for decades, the court's conservative supermajority has embraced it with new fervor, sending attorneys scrambling for historical nuggets that once were useful for Trivial Pursuit.

"The more this form Please turn to page A11



Drunk history

INSIDE



U.S. NEWS

Bill Gates says Jeffrey Epstein learned of his affairs and tried to use that against him. **A3**



PERSONAL JOURNAL

Families open up about what it's like to have children after age 40. **A10**